# Luminor Bank

● OK

ANALYSIS DATE
2026-10-22

ISSUER RATING
Moody's - affirmed after the OTP announcement (grade to be confirmed; 2025 annual report refers to 'current A2 rating')[1,2]

NEXT REPORT
3Q 2026 interim report - expected November 2026

**Position OK.** Capital and liquidity are well above requirements, and Moody's kept the rating after the OTP Bank deal was announced[1]. Profit fell about a fifth[3]. The 7.75% bond XS2633112565 was redeemed in June 2026 and is no longer outstanding[4,5].

| NET PROFIT · 2Q2026 | ROE · 1H2026 | CET1 RATIO · 1H2026 | LCR · 1H2026 |
|---|---|---|---|
| 37.4 EUR m | 7.7 % | 19.6 % | 187.0 % |
| ▼ 19.0 % vs 2Q2025 | ▼ 0.9 p. p. vs FY2025 | ▼ 1 p. p. vs 1H2025 | ▲ 23.7 p. p. vs 1H2025 |

## 01 Quick summary

- **Profit down about a fifth:** 1H 2026 net profit EUR 72.0m versus 91.6m a year ago; Q2 alone EUR 37.4m versus 46.2m. Return on equity 7.7%[6].
- **Capital and liquidity well above requirements:** CET1 19.6% and total capital 23.7%. MREL 36.34% of TREA versus a 23.69% requirement plus buffers. Liquidity: LCR 187.0%, NSFR 142.3%[5].
- **New owner coming:** on 2026-07-20 it was announced that OTP Bank will buy 100% of Luminor from the Blackstone-led consortium and DNB. Regulatory approvals are pending. Moody's kept the rating and outlook[7].
- **Part of capital to be returned:** on 2026-07-17 the ECB approved a EUR 200.0m reduction of CET1 capital, expected in Q4 2026[8].
- **Cheaper funding:** a EUR 300m senior bond at MS+4.471% was repaid and the first EUR 500m senior non-preferred bond was issued at MS+1.28%[5].

## 02 Instruments held and ISINs

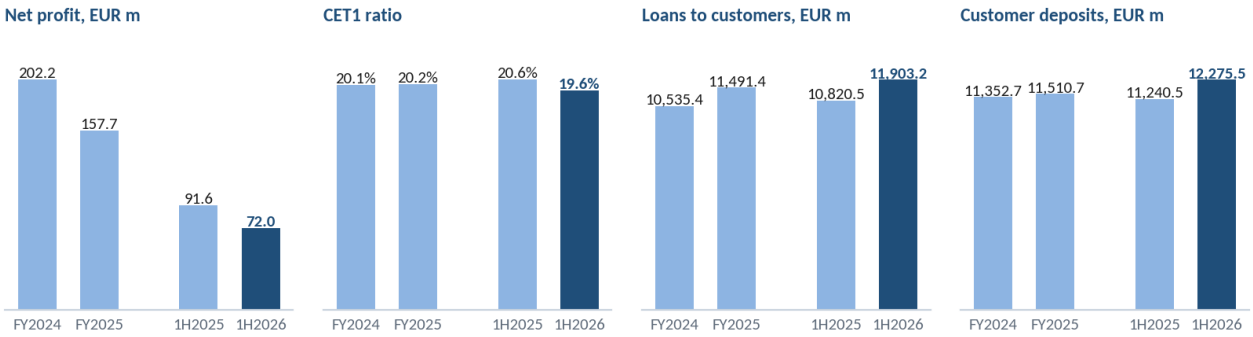
| ISIN | INSTRUMENT | COUPON | MATURITY | ISSUE RATING | NOTE |
|---|---|---|---|---|---|
| XS3079969104 | Luminor Bank 3.551% 2029 | 3.551% | 2029-06-12 | no separate rating found | Senior preferred; callable at par 2028-06-12, then 3M EURIBOR+1.55% |
| XS2888497067 | Luminor Bank 4.042% 2028 | 4.042% | 2028-09-10 | no separate rating found | Senior preferred; callable at par 2027-09-10, then 3M EURIBOR+1.50% |
| XS2982074861 | Luminor 7.375% perpetual | 7.375% | perpetual | no separate rating found | ⚠ Perpetual, issued 2025-02-12 |

## 03 Key ratios

| METRIC | FY2024 | FY2025 | 1H2025 | 1H2026 | CHANGE |
|---|---|---|---|---|---|
| Net profit, EUR m[9,3] | 202.2 | 157.7 | 91.6 | 72.0 | ▼ 21.4 % vs 1H2025 |
| Net interest income, EUR m[9,10,3] | 507.7 | 427.3 | 214.7 | 214.4 | ▼ 0.1 % vs 1H2025 |
| Total operating income, EUR m[9,10,3] | 632.8 | 544.7 | 269.5 | 271.7 | ▲ 0.8 % vs 1H2025 |
| Cost/income ratio[11,10,12] | 54.5% | 64.7% | 60.1%ᶜ | **65.5%** | ▲ 5.4 p. p. vs 1H2025 |
| ROE[11,10] | 11.7% | 8.6% | – | **7.7%** | – |
| Cost of risk[10] | – | 0.01% | – | 0.14% | – |
| Net interest margin[9,13,12] | 3.33% | 2.71% | 2.84% | 2.70% | ▼ 0.14 p. p. vs 1H2025 |
| Loans to customers, EUR m[13,5,14] | 10,535.4 | 11,491.4 | 10,820.5 | 11,903.2 | ▲ 10.0 % vs 1H2025 |
| Customer deposits, EUR m[13,5,14] | 11,352.7 | 11,510.7 | 11,240.5 | 12,275.5 | ▲ 9.2 % vs 1H2025 |
| CET1 ratio[2,13,15] | 20.1% | 20.2% | 20.6% | **19.6%** | ▼ 1 p. p. vs 1H2025 |
| Total capital ratio[2,13,15] | 22.7% | 24.6% | 25.2% | **23.7%** | ▼ 1.5 p. p. vs 1H2025 |
| Leverage ratio[2,13,15] | 9.1% | 10.0% | 10.3% | **9.9%** | ▼ 0.4 p. p. vs 1H2025 |
| MREL (% of TREA)[13,5] | – | 35.54% | – | 36.34% | ▲ 0.8 p. p. vs FY2025 |
| LCR[13,14,5] | 205.1% | 174.6% | 163.3% | **187.0%** | ▲ 23.7 p. p. vs 1H2025 |
| NSFR[13,14,5] | 143.6% | 134.1% | 133.8% | **142.3%** | ▲ 8.5 p. p. vs 1H2025 |
| NPL ratio[16,13,17] | 1.8% | 2.0% | 1.7% | **2.1%** | ▲ 0.4 p. p. vs 1H2025 |

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).




## 04 Business performance review

- Loans to customers EUR 11,903.2m (+3.6% since YE2025), deposits EUR 12,275.5m (+6.6%; changes calculated by the tool)[5].
- Net interest income 1H EUR 214.4m; net interest margin 2.70% (2025: 2.71%)[10,13].
- **Cost/income 65.5% (2025:** 64.7%); cost of risk 0.14% (0.01%); NPL ratio 2.1% (2.0%)[10].
- EUR 74.0m of dividends for 2025 paid in 1H 2026[5].

## 05 Financials

- **FY2025 net profit EUR 157.7m (2024:** 202.2m, −22.0%), ROE 8.6%, CET1 20.2%, total capital 24.6%[18].
- **FY2025 figures restated in the 2Q report:** net interest income EUR 427.3m (annual report: 419.8m), total income EUR 544.7m (537.2m)[10,19].

## 06 Past plans vs outcomes

| PLAN / TARGET | OUTCOME | WHAT CHANGED AND WHY | STATUS |
|---|---|---|---|
| Issue senior non-preferred bonds while keeping the current A2 rating (2025 annual report) | EUR 500m SNP issued in 1H 2026; Moody's affirmed the rating[2,1] | Met: EUR 500m SNP issued at MS+1.28% while a EUR 300m senior bond at MS+4.471% was redeemed, so funding became cheaper[5]. | **Met** |
| Reduce CET1 capital by EUR 200.0m (approval received 2026-07) | Planned for Q4 2026[8] | New plan: the ECB approved it on 2026-07-17. Capital is well above requirements (CET1 19.6%), so excess capital is returned[8]. | **In progress** |
| Owners: Blackstone-led consortium (80.05%) and DNB (19.95%) (2025 annual report) | Sale to OTP Bank (100%) announced 2026-07-20, approvals pending[20,21] | Changed: the owners agreed to sell 100% to OTP Bank; Moody's affirmed the rating and outlook after the announcement[7]. | **Revised** |

## 07 Investor information & conclusions

- **Instruments held:** two senior preferred bonds, 4.042% 2028 (issuer call at par 2027-09-10) and 3.551% 2029 (call 2028-06-12), and a 7.375% perpetual bond[22,23,24]. The 7.75% 2027 bond XS2633112565 had a call date of 2026-06-08 and Luminor redeemed this EUR 300m bond in 1H 2026, so it is no longer outstanding[4,5].
- **For bondholders:** capital and MREL buffers are well above requirements and liquidity has increased. The EUR 200m CET1 reduction will lower the buffer; the bank does not state the impact on the CET1 ratio in the sources[5].
- **OTP deal:** Moody's kept the rating and outlook after the announcement, so there is no rating impact so far[1]. Both held senior bonds can be called by the issuer at par, in 2027 and 2028[22,23].
- **Conclusion:** profitability is declining (1H profit −21%), but capital, MREL and liquidity have large buffers. The key event for holders is the change of owner to OTP. Watch: 3Q report, OTP deal approvals, the Q4 capital reduction.

## 08 In the press

- **OTP deal:** on 2026-10-13 the European Commission cleared OTP Bank's acquisition of Luminor Holding[25].
- **Attention – buyer's Russia links:** on 2026-09-28/29 the press (citing Bloomberg) reported that OTP's clients include companies linked to Gazprom and that OTP is considering a full exit from Russia. This concerns the buyer OTP, not Luminor's own business[26,27].
- **Bonds:** on 2026-09-26 Latvian media reported that Luminor Bank is cancelling bonds worth EUR 500m; the headline does not name the issue[28].

Automatic news scan (Google News, EN, EE, LT, LV), 2026-07-24 – 2026-10-22: 27 articles.

| | | |
|---|---|---|
| 2026-09-29 | ATTENTION | Už „Luminor“ norinčio įsigyti vengrų OTP ryškėja Kremliaus šešėlis: tarp klientų – su „Gazprom“ siejamos įmonės 15min.lt · 1 more similar articles |
| 2026-10-22 | DEAL | European Commission clears Luminor deal for OTP Bank stock AD HOC NEWS · 1 more similar articles |
| 2026-10-15 | DEAL | OTP Bank wins EU approval for Luminor while OTP Bank stock trades at EUR 114.05 AD HOC NEWS · 1 more similar articles |

| | | |
|---|---|---|
| 2026-09-29 | DEAL | Hungary's OTP Bank weighs Russia exit amid Luminor purchase – report Retail Banker International · 2 more similar articles |
| 2026-09-26 | BONDS | "Luminor Bank" anulē obligācijas 500 miljonu eiro vērtībā tv3.lv |
| 2026-10-19 | MANAGEMENT | „Luminor" mažmeninei bankininkystei pradeda vadovauti Ieva Linkutė-Urbonė LRT |
| 2026-10-08 | MANAGEMENT | „Luminor" privačios bankininkystės vadovas nepasitiki politiniais sprendimais: II pensijų pakopos pinigus valdys pats vz.lt |
| 2026-10-20 | RESULTS | Luminor posts 157 million euro profit for 2025 / Article Latvian Public Media |
| 2026-10-21 | OTHER | Luminor" ekonomistas Žygimantas Mauricas: šilta žiema būtų geriausia dovana europiečių piniginėms Infoerdve.lt |
| 2026-10-18 | OTHER | Luminor lends €1.1M to fast-growing Latvian timber firm Rēzeknes Mežs Dealroom |

## 09 ESG report

### EXCLUSIONARY SCREENING (COMPANIES)

☑ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
- The bank is not active in excluded sectors.
- Sustainable real estate and renewable energy lending is growing (EUR 305.4m in 2025)[29].

☑ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
- No UN Global Compact or OECD related controversies found in public sources and the news scan (2026-10-22).
- No AML fines reported
- The only regulatory note in 2025 was a Finantsinspektsioon precept on basic payment service procedures[30].

☑ **Yes, the company is not in the list of sanctions (add a screenshot)**
- Not found on the EU, UN, UK, US OFAC consolidated sanctions lists (automatic check 2026-10-22).
- Namesake on the lists: Luminor Oy – a Finnish logistics company linked to Siberica Oy (per the EU list entry for Gabriel Temin), not Luminor Bank AS.
- Namesake on the lists: Luminor Logistics – an alias in the same US OFAC entry group as Luminor Oy and Siberica Oy (logistics), not Luminor Bank AS.

☑ **Yes, issues were not identified from adverse media checks (add a screenshot)**
- No adverse news about Luminor itself
- Most news is about the OTP Bank deal.
- On 2026-09-28/29 the press wrote about links of the buyer OTP's clients to Russia – this concerns the buyer, not Luminor's business[26,27].
- News summary 2026-07-24 – 2026-10-22: 27 articles, 1 with an adverse keyword in the headline (details in the section "In the press").
- Headlines with an adverse keyword: „Už „Luminor" norinčio įsigyti vengrų OTP ryškėja Kremliaus šešėlis: tarp klientų – su „Gazprom" siejamos įmonės" (15min.lt, 2026-09-29).

*In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.*

**Additional comments:**

## ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

☑ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
- Sustainable real estate and renewable energy lending EUR 305.4m in 2025 (EUR 182.4m in 2024), target EUR 700m by 2030
- Green or sustainability-linked bonds 7.4% of the bond portfolio
- Sustainalytics ESG risk rating 18.4 (low risk)[29].

☑ **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
- Target to become climate neutral by 2050[29]
- Financed emissions measured with the PCAF method[31]
- Green or sustainability-linked bonds 7.4% of the bond portfolio, target 50% by 2030[29].

☑ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
- No yellow flags found.
- Ownership will move to OTP Bank (Hungary) once approvals are received[21].

☑ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

**Applicable**
- No SEB sector policy for banks, so the Investments policy and the Environmental and Social & Human Rights policies apply[32].

**Met**
- No breach of governance or international norms found (quick search, 2026-10-22)
- Financed emissions disclosed using PCAF (Scope 3 3.2m t CO2e in 2025)[31]
- Climate neutrality target for 2050[29]
- Sustainable real estate and renewable lending EUR 305.4m, target EUR 700m by 2030[29]
- Sustainalytics ESG risk rating 18.4 (low risk)[29]
- Human rights commitment[33]
- AML and sanctions compliance[33]
- Anti-bribery measures and whistleblowing channels[34].

**Could be improved**
- No public lending exclusion list (coal, oil & gas, weapons) or UN Global Compact membership found.

**Additional comments:**

## ENGAGEMENT

☐ **Is there a need for pro-active engagement with the company?**
- No need: capital, liquidity and ESG practices are solid.

**Additional comments:**

## INDICATORS

☑ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**
- Financed emissions (Scope 3) 3.2m t CO2e in 2025, PCAF method[31]
- Women on the Supervisory Council 33.3% (target 40%)[35]
- Sustainalytics ESG risk rating 18.4, low risk[29].

**Additional comments:**

**Conclusion:** No exclusions or red flags. Solid ESG practice: financed emissions measured (PCAF), climate-neutrality target, growing green lending and a low ESG risk rating. Ownership moves to OTP Bank.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Financial sector - no dedicated SEB sector policy (thematic policies applied); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

## 10 Sources


1. Luminor Bank - Interim report 2Q 2026, p. 15, 2026-08-11
2. Luminor Bank - Annual report 2025, p. 9, 2026
3. Luminor Bank - Interim report 2Q 2026, p. 5, 2026-08-11
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10. Luminor Bank - Interim report 2Q 2026, p. 16, 2026-08-11
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19. Luminor Bank - Annual report 2025, 2026
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21. Luminor Bank - Interim report 2Q 2026, p. 4, 2026-08-11
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27. Retail Banker International – Hungary’s OTP Bank weighs Russia exit amid Luminor purchase – report, 2026-09-29
28. tv3.lv – "Luminor Bank" anulē obligācijas 500 miljonu eiro vērtībā, 2026-09-26
29. Luminor Bank - Annual report 2025, p. 19, 2026
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32. SEB Policy on Sustainability Considerations in Investments (2026-04-15), p. 5, 7, 2026-04-15
33. Luminor Bank - Annual report 2025, p. 18, 2026
34. Luminor Bank - Annual report 2025, p. 23, 28, 2026
35. Luminor Bank - Annual report 2025, p. 29, 2026


Report prepared from public sources. Figures are as published by the issuer; small numbers next to the text point to the source list.